6/14/2023 - National Grid - Technical Conf. 23-G-0225/226

STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 23-G-0225 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 23-G-0226 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.

VIRTUAL TECHNICAL CONFERENCE HEARING

DATE: June 14, 2023

TIME: 11:31 a.m. to 12:18 p.m.

VENUE: WebEx

BEFORE: A.L.J. JAMES A. COSTELLO

A.L.J. MAUREEN F. LEARY

(The technical conference commenced at 11:31 a.m.)

THE COURT REPORTER: Okay. I have us back on the record.

A.L.J. LEARY: Thank you, Mr. Hubbard. We will now begin the technical conference, as was described in the Secretary's May 23rd, 2023 notice. The companies will provide today an overview of their rate case filings.

The parties participating today will also be afforded the opportunity to ask questions so that they are better informed about the nature and scope of the rate filings. As you know, based on my communications with Mr. Hubbard, a transcript of the procedural conference and the technical conference is being prepared.

But please understand that the company and -- is not under oath, there's no testimony here. And in conformance with the department's procedural rules, specifically, Rule 4.4(b), any facts outlined in the PowerPoint are confidential and privileged, except by a separate agreement with the company, they may not be used against any participating party without independent evidence being provided.

The company's presentation today is meant to assist everyone in understanding the filing. But the conference does not replace the discovery process and the presentation certainly is not intended to replace the discovery process.

With that, I am going to turn things over to Ms. Matte and the companies and proceed, Ms. Matte and Mr. DeCicco.

MR. DECICCO: Yes.

A.L.J. LEARY: Okay. Thank you.

MR. DECICCO: Thank you so much, Judge Leary and Judge Costello. And thank you and welcome to the technical conference segment of the agenda today. My name is Phil DeCicco. I am counsel for National Grid.

And I want to say upfront that I really appreciate the level of engagement and interest in our rate filings. For our part, we are absolutely committed to a -- supporting a very thorough and transparent process, one that allows for input from all stakeholders and ensures that all voices can be heard.

It is really important. These are obviously important rate filings at a very important

time for New York's energy future. And I think it's critically important that they reflect the views of a wide group of stakeholders. And that's absolutely our intention to facilitate.

Experience tells us that these rate proceedings can be very effective and driving positive outcomes that are just and reasonable for our customers, particularly with the group of stakeholders and parties that we've dealt with through several cases, including some of the ones we've discussed during the procedural conference.

We are absolutely confident that we can -- we can recreate those good results here. And again, that is our commitment. Looking at the agenda today, you'll be hearing as the Judge described, for me and other members of the rate case team talking about some of the highlights from the rate filing.

I assure you this will be one of many sessions where we'll be discussing our rate case and answering questions. This will be at a fairly high level to be sure. But we will facilitate additional sessions and address areas of interest in more detail as the case proceeds.

And on that point, we really welcome

the feedback of the parties. I think in past rate cases, we've had a very effective process where we were able to really dig down on areas of particular interest with those parties that are especially interested in --in specific topics.

And so we're absolutely committed to making our teams and our subject matter experts as available in these proceedings as -- as the parties are interested in hearing from them. We can go on the next slide. You know, before talking a little bit about what's in these rate filings, I just wanted to provide some context and highlight what has been accomplished under the current rate plan.

And as Judge Leary alluded to in the last session, you recall that our last rate case was developed in collaboration with staff and the other signatory parties. And it was really complicated by a bunch of confluencing factors.

We had the implementation of the C.L.C.P.A. in the middle of our rate case. We were dealing with various supply issues in Downstate, New York. And obviously the -- the issue that impact -- impacted our settlement more than any other was -- was the COVID-19 pandemic that occurred in the middle

of our rate case.

And as a result, really had us prioritizing affordability and settlement. We ultimately reached what we think was a very fair outcome for modest rate increases, including a rate freeze in year one, while still allowing for significant progress on the issues that matter most to our customers.

Indeed, we've invested over this period more than $3 billion to modernize our Downstate New York gas networks, while launching an unprecedented portfolio of non-infrastructure programs on an entirely new scale from anything we've ever done before.

On that point, we have delivered two times as much energy efficiency savings. And last year as we did just two years ago, we've enrolled 20,000 residential customers in our smart thermostat program. That's a tenfold increase from where we were in 2020.

And we've reduced system emissions through main replacements and leak reductions. In fact, since 2013, we've retired more than 1500 miles of leak prone pipe in Downstate, New York, including

about 500 miles in just our last rate plan.

We've also maintained strong operational performance through severe weather events, which was highlighted this past winter, when extreme cold weather coupled with Upstate -- excuse me, upstream pipeline curtailments really challenged resiliency on our system.

But because of our prudent investment, because of what we've done, our networks -- this system showed up as designed. And we were able to maintain service through some especially cold periods, including some incredibly rapid temperature drops, which provides a special stress on our system.

We've consistently met or exceeded our service quality and gas safety performance metrics, which when you think about it, really that's at the core of what we do, making sure that our customers are satisfied and that we are, for our part, operating safely. And we're obviously proud of having done that over the term of this rate plan.

And importantly to the customers, our affordability programs have returned more than $50 million a year to help manage bills. And on top of that, we've worked with staff, helping other

stakeholders to provide more than $150 million of bill relief to approximately 133 COVID-affected customers, including many customers who found themselves requiring financial assistance for the first time because of the pandemic.

And for our employees a source of pride, we launched Project C, it's a community-based program focused on workforce development, neighborhood investment, and volunteerism -- volunteerism, again, it's a source of pride for us to be out in our communities. This is where we live and work and it's really important that we're showing up there.

But our current rate plans are coming to an end. As of April 1st, we are in what's called a stay-out period. So we must file for new rates that align with our cost of providing service. And that's what we're talking about today. If we can go on to the next slide.

In crafting our rate case in this proceeding, we identified three priorities that we think are critically important, things that we must achieve in order to have a successful outcome. Our first priority as it must be is continuing to meet

our core obligation to deliver safe, reliable energy service to our nearly 2 million customers.

Our customers rely on us on the coldest day of the winter for heat, we must be capable of meeting those needs. So in this case, we propose the package of in -- investments to deliver on our core mission, meet our safety mandates, while also advancing a portfolio of non-infrastructure options, which we'll talk about in detail during this presentation.

And since our last case, the Commission has stated very clearly that we're not -- reliable energy networks are essential to the goals of the C.L.C.P.A. And we will do our part to make sure our networks are ready to meet that challenge.

Our second priority is supporting the clean energy transition and advancing the goals of the C.L.C.P.A. And as I said before, when we first filed our rate case in 2019, the C.L.C.P.A. was not yet a law, it was enacted in the middle of the case.

And even once enacted there was very little guidance in terms of what it meant for our business. Fast forward, we now have the Climate Action Council Scoping Plan, we have several

Commission orders considering rate cases and what the implications are under the C.L.C.P.A.

And we have the recently enacted All-Electric Building Act, which taken together, give us a strong direction in terms of how New York expects us to operate our business at least in the near term. And our rate filings are well-aligned to -- to -- to meet that mandate.

The two key components for us in terms of supporting the C.L.C.P.A. are first the operational networks, making sure that we are reducing emissions to be sure. But also, and as importantly, enabling our customers to utilize their energy more sustainably.

Our C.L.C.P.A. panel will discuss in detail or does discuss in detail how it is we've aligned this case to meet with specific C.L.C.P.A. goals, including the impacts on emissions and disadvantaged communities, which we talk about in depth.

And our third priority in this rate case is enabling customers to affordably meet their energy needs, especially our financially vulnerable customers, while at the same time improving customer

service for all.

Now, I want to say upfront I absolutely appreciate the challenge of talking about affordability and proposing rate increases in the same breath. So it's incumbent upon us to explain the need for these rate increases, which you'll hear includes a combination of macroeconomic factors that are affecting every business.

But also some factors specific to our business and what's causing some cost increases and how we're trying to maintain those. For our part, we are trying to moderate our capital proposals where we can, we're absolutely returning tens of millions of dollars of efficiencies to offset cost increases.

And most importantly, these cases will describe what we are doing for our low-income customers, making sure that not only our programs well-funded, but as importantly that the customers who are able to take advantage of those know about them and are enrolled.

And that's something that we are really prioritizing as part of this rate case. Managing our rates is important obviously, enabling our customers to use less energy is as important, if

not more, not only does it allow them to lower their bills but it also is more sustainable.

So in a minute, we'll talk about all the programs we are using to help with energy efficiency, including for those low-income customers in particular, making sure that they are taking advantage of them in a way that they have not always traditionally. That's critically important to us and I think one of the key outcomes we're trying to drive through this case.

And finally, we'll discuss how we are improving customer exp -- customer experience through more customer-focused resources, again focusing on different customer segments. But also using additional technology to help drive better outcomes and -- and a better user experience for our customers. If we can go on the next slide.

So again in 2019, the C.L.C.P.A. was not yet the law. And again, even after it did, there was very little guidance. But nonetheless, in our last rate case, we're able to include commitments in our settlement that ultimately allowed the Commission to determine that our rate filing must support the C.L.C.P.A. directionally consistent.

And I'm very pleased to say that we've delivered on all the commitments that were in that rate filing and then some. We've targeted and achieved, yes, usage reductions over the term of the rate plan, we funded more than $130 million of energy efficiency programs and more than $16 million of demand response programs.

So just our demand response programs are eliminating, the gas usage is equivalent of about 150,000 residential customers each year. That means investments we don't have to make because all of that gas is being taken off the system at peak times, you know, it's a critical part of our strategy going forward.

Especially in an environment in which building new infrastructure is increasingly a challenge. We launched the new Residential Weather -- Weatherization Program at the end of 2021 that has seen significant growth and is expected to deliver more than double expected savings in 2023.

Importantly, we've ceased gas marketing activities and are now collaborating in incentive programs, and are now collaborating with our electric utility service providers in our service

territories, to direct applicants who otherwise would be interested in natural gas to explore their -- their electrification options.

I will say as part of this rate case, we're trying to make that process better, yes, it's good that we're doing that, I think we have opportunities to track those -- those referrals better and make sure that those customers are following through and if they're not following through to understand why and so that's something that we're absolutely looking forward to -- looking to do, carry forward in this rate case.

And finally, we produced a comprehensive study that describes how it is our system and our business may evolve to meet the climate action -- excuse me, the C.L.C.P.A.'s goals and the goals of New York City's Local Law 97, among other energy policies.

And I'll say upfront that I appreciate not everyone has agreed with some of the conclusions we've reached about the ability to repurpose the gas network. But this was a collaborative effort and it was an important piece of work to inform some of the rate -- some of the proposals we're seeing in this

rate filing. We're absolutely committed to doing similar work, in consultation with the parties going forward.

Now, for this rate case, we are pulling forward all of those good initiatives and now looking to double down on many of them and refine the ones that we think have opportunities to get better. We will continue to target gas usage reductions over the term of this rate plan, continue to refer new gas applicants to electrification, again, trying to do that in a way that's more effective in terms of both tracking and execution and -- and -- and outcomes.

And we're going to enhance our emissions reporting. And I think you've seen that in our rate filing, both in terms of, the projects that we're proposing and being very specific about what the emissions implications aren't doing that upfront, as well as the impact on disadvantaged communities.

Again, just trying to make a better product here with each version of our rate cases. We are expanding energy efficiency with -- with increased focus on weatherization. And from our perspective, one of the key benefits of weatherization is, customers' homes are more

efficient and no matter how they choose to -- to heat their homes in the future, whether they choose to electrify, having a weatherized home is just going to make that -- that journey even better and more efficient and less expensive for our customers.

So we think that's money well spent, no matter how customers ultimately decide to keep going forward. And again, importantly, I think for customers in disadvantaged communities, making sure that we're targeting those programs, to those -- to those neighborhoods and that they're getting the benefit of them in a way that we have not seen traditionally very important.

We're also trying to work smarter. So looking at opportunities, for instance, to electrify our -- our fleet, we're proposing to electrify more than 600 internal combustion vehicles like heavy vehicles with E.V.s, this -- through this rate filing.

Again, this is just one step in -- in our journey but a way in which we're trying to make our business operate more efficiently and more sustainably. And as we've concluded in our C.L.C.P.A. panel testimony taken together, we

estimate the proposals we have in this rate case have the ability to achieve more than a million metric tons of CO2 reductions over the course of a four-year, potential four-year rate plan.

So we're doing our best to try to quantify the impacts of our proposals in a whole new way, you know, something that we sort of felt our way through candidly, in the 2019 case. We now have the benefit of a lot of experience in the Commission's expectations and we hope we've presented in our initial rate filings a much better view that would allow parties to consider the impacts of these cases through the lens of the C.L.C.P.A.

So with that, I'm going to turn over to my colleague, Kris Kiefer, who's going to talk a little bit more about some of our efficiency programs and some more customer focused programs. Kris, why don't you take it away?

MR. KIEFER: Thanks, Phil, really appreciate it. And you know, I think the overall theme of what we want to convey and what the companies are trying to convey with the, you know, with our rate case filing with regard to energy efficiency and demand response, as well as

affordability and enhancing the customer experience is -- is overcoming barriers and reducing barriers for customers to be able to access the benefits of these programs.

And so you'll see that here, in the case of the -- our energy efficiency programs, we're continuing to deliver, you know, market- based solutions and emerging technologies. And as Phil mentioned, we've seen incredible success with what the company had watched coming out of the last case, we have weatherization program, which -- which Phil had mentioned had tremendous increase in terms of uptake and benefits for customers that are participating in that.

And a lot of those specific issues are being addressed in the New Efficiency New York proceeding. But we do believe that there are opportunities to expand pilots and programs as part of this rate filing which will further enhance our ability to deliver the benefits to customers.

And specifically, for pilots that we -- we've proposed as part of this case, as a benefit of low and moderate income customers and specifically disadvantaged communities. The first of which is

weatherization health and safety program. This builds off of something that the company had previously started recognizing that some of the initial barriers or adoption of weatherization programs are significant upfront costs for residential customers for items that might not otherwise be your typical type of weatherization activities.

And those are items that we've really been able to help with in terms of whether it's ventilation, sometimes different types of maybe septic issues that are going on or -- or roofing items. And so that's an opportunity for the companies to come in and assist low and moderate income customers with addressing some of those issues so that they can take full advantage of the weatherization programs. And so that's one that we're looking to move forward.

The others are language access program and offering there. One of the barriers that we identified is that customers are often interacting with various vendors and contractors, who may not have the same language access, the type of capabilities that the company does.

And there's a role for us to be able to play to work with interested stakeholders and vendors to expand the types of materials that they are offering, whether it's helping to translate websites or -- or flyers or other materials that are going to be used through the energy efficiency process and programs by those vendors to help increase access for various customers. So we think that's a great opportunity for us to drive additional benefits and savings from the energy efficiency programs.

We are also, consistent with the C.L.C.P.A., are committed to our outreach to disadvantage communities. And looking for opportunities to be very intentional and focused on how we're going to do that. And that includes more targeted localized media campaigns, including social media campaigns to really help drive an understanding and some transparency in terms of the types of programs that the companies are offering and the opportunities to access those programs.

And finally, in terms of pilots, one that we find is really interesting that both companies are looking to provide is a digital

building replica. And this would pertain to about three or four schools within disadvantaged communities, really given an opportunity for those schools to look at the whole building.

The whole opportunity to understand what the different levers are that they could pull in order to drive energy efficiency and maybe what the associated costs and opportunities are with regard to each of those levers so that they can have a really focused approach to driving energy efficiency in those particular areas.

So this is -- this is one of those packages for opportunities that we think really make a lot of sense to help reduce those barriers, drive further ener -- energy efficiency and savings, consistent with the C.L.C.P.A goals that Phil talked about, you know, driving reductions in G.H.G. emissions as well as ensuring that the benefits of this finding are being delivered to disadvantaged communities.

The other item that the company is really focused on is continuing to operate at scale, our innovative gas demand response portfolio – portfolio. These -- these are four programs, two on

the commercial industrial side, our load shedding and load shifting programs, as well as two, on the residential side, which are bring your own thermostat program and a behavioral program.

And you know, we talked -- Phil mentioned a little bit what, you know, some of the constraints and issues that we saw in the wintertime, last year and how these programs really have played an important role in helping the companies and our customers address and reduce peak in those particular situations.

And we're looking to continue to enhance and drive those as opportunities for us to ensure reliable service and advance -- advance our goals of providing those services to our customers. Francis, on to the next slide, please.

So we also have heard it loud and clear the importance of affordability and trying to make sure that we are mindful of that and -- and delivering affordable service for our customers. And there are several areas that we think, you know, where some investments make sense to further enhance existing programs or add new programs that will really ensure that customers are getting the most

benefit from the service and they're achieving some affordability in terms of doing so.

The first of which is our consumer advocacy program, our consumer advocates play an important role of connecting our vulnerable customers with the programs and services that they need. They do community outreach and other community events, we're looking to add five new F.T.E.s to that program.

And we think that there's a potential that between KEDNY and KEDLI could help approximately 12,000 households and -- and host more than 150 events that will really help those customers understand what the opportunities are to get additional assistance or access programs and really bring them together in a way that -- that provides benefits.

The next are the clean energy advisors. And this will help -- sorry, Francis, if you could go back, thank you. Adding clean energy advisors to assist our income eligible customers with navigating clean energy programs and engaging with local communities, I think, one of the important things is we're looking to build out this proposal

is, how the opportunity to interact with NYSERDA's Regional Clean Energy Hubs.

There are three such hubs within the company's service territory. And we think this is a great opportunity, again, to reduce the barriers for customers to accessing the energy efficiency in -- investments and other benefits, whether those are from NYSERDA or otherwise, it can, at times seem a little overwhelming in terms of what the options are, they're out there.

And these clean energy advisors would help customers through that process to navigate to work through applications and to otherwise connect with NYSERDA to make sure that they are accessing the benefits that are available.

So we think that's a real opportunity and we're excited about that approach. You know, the other piece is enhancing our outreach and communications to income eligible customers. And we believe that we can continue to seek enrollment in our assisted energy affordability programs and other assistance programs that we have.

I think this was an area of tremendous interest in the E.A.P. Working Group, which we are

continuing to participate in, as well as, some ongoing work throughout this legislative session with PULP and A.A.R.P. to help ensure that we are identifying and helping to make sure that there are -- there's awareness of the opportunities available for income eligible customers to access assistance, including the company's energy affordability program.

And so this would be an excellent opportunity for us to use Digital Communication and Mass Media to help drive some additional outreach there. We also have the collection residential account management group.

We're looking to enhance that group with three additional F.T.E.s. This group is focused in a different way than -- than the other consumer advocates. Those customers that have high -- residential customers with high balances, balances over $5,000.

And who may require extra assistance, the group has seen some success in helping those customers to avoid service termination to access, you know, whether it's a deferred payment agreement or a budget building program or otherwise.

And having that real personalized and

direct outreach, we believe can make a difference and want to enhance that program and provide that offering to those customers that -- that may need some additional assistance there.

And finally, one that we're -- we're really excited about is the elimination of credit card and debit card fees, socializing those fees, the current transaction cost is about $1.75 per transaction. We know that some of our current utilities have had some proposals successfully to go to this type of no fee model. We think that among the benefits that are out there are those for low income customers, who may receive some public assistance through a debit card.

And if they were going to use that card to pay, use that prepaid card to pay their, you know, utility service, it makes sense to eliminate that piece of the -- of the assistance that they're receiving, is not going to just cover those transaction costs.

We also think that, given the size of the company, we'll be able to negotiate a better rate if we're able to socialize those fees. So again, overcoming barriers and energy efficiency and demand

response, as well as overcoming barriers in terms of access to affordable service.

And then, Francis on to the next one. Thank you. Yeah, enhancing our opportunity and to drive and enhance the customer experience. We mentioned that a little bit of this in terms of the conversation, the procedural conference, the company has sort of two proposals that are addressing our call centers and ways that we think we can improve customer service by first having a Spanish speaking, targeted approach that will allow sort of near offshore Spanish speaking call centers to be used to make for a more efficient process and a better customer experience.

Our New England operating companies have -- had implemented this, they've seen tremendous success, we talk about some of the customer reactions in the -- in the customer panel. And this avoids the situation where you would have an English speaking, customer service represented -- representative having to work through and translate with the current translation services.

A process that can, you know, potentially be a little clunky and delayed and we

think this will provide some real time benefits to customers, making for a smoother interaction and one that is really more customer friendly.

The other is enabling our third-party vendors to flex their staff across areas, including those outside of New York. We think this will help attract additional candidates and minimize some of the attrition rates that we've seen.

Also working with our customer self-service, so increasing digital channels to make sure -- making sure that customers are aware of the opportunities they have to address various items. And -- and finally, with regard to our customer service reps, really trying to get down the, you know, improve our first call resolution, and drive operational ex -- excellence and efficiencies with those customers.

So I think there's a real opportunity here from the investments that we're making. And with that, I'll hand it back to Phil on some of our additional investment.

MR. DECICCO: Great, thanks, Kris.

A.L.J. LEARY: Well, excuse me, Mr. DeCicco.

MR. DECICCO: Sure.

A.L.J. LEARY: I want to just to, at this point, I probably should have done this a bit earlier. But I want to ask the participants, if there are any questions up to this point on anything that's been presented thus far.

If you look on your WebEx screen, you will see a hand at the bottom on the bottom toolbar, you can raise your hand, if you have a question. If you're participating by phone, you can press star D. And that will also show me that you have a question. So let's see if anybody wants to ask a question at this point.

MR. DECICCO: And it's just the way we were actually intending to, sort of, leave my time at the end, you know, we have about 20 slides here. I think we're probably halfway through. So we'll -- we'll have more than enough time to capture any questions at the end as well.

A.L.J. LEARY: Yeah. And you know, my experience has been that allowing questions during the process is a more effective and efficient way to deal with it. Nobody really ever has questions at the end, maybe one or two people. But I could be

wrong.

I don't see any questions being presented even at this point. So let's, you know, you gentlemen can finish, and then, we will open up the floor. But I wanted to see if anybody had anything up to this point. I don't see anyone with a question. So please proceed.

MR. KIEFER: Okay. Obviously, Phil, it looks like Mr. Wyman has raised his hand, I believe.

A.L.J. LEARY: Okay. Mr. Wyman.

MR. WYMAN: Yeah. Just a quick question that I'm wondering on the -- on the credit card fees, socializing the credit card fees. Did you all do any analysis of the potential -- potential impacts on equity, for instance, we know that people who are financially more fortunate are more able to get, say, cash back credit card arrangements, which essentially are taken out of fees.

So they essentially have the fees paid by the -- by the merchant, returned to them as -- as a cash reward for -- for using the card. That's a benefit, which is less available to people with lower incomes and who are less fortunate financially in

terms of credit rating and such.

And I'm wondering, did you all consider at all any impacts on equity and whether socialization of the fees while providing potentially cost reduction to those with low and moderate income, might also be resulting in a transfer of income or wealth from the low-income individuals to the higher income individuals?

MR. DECICCO: Let -- let me start and certainly someone else can -- can jump in, you know, I think the company is looking at this issue to, sort of, the -- with, obviously, with equity being a consideration but through a slightly different lens, you know, in our view, customers, especially our low income customers who are utilizing and would be inclined to utilize credit cards to pay their bills, you know, that -- that credit card fee obviously represents a much bigger chunk of their income than it does to more affluent customers.

So I understand exactly what you're saying, I appreciate that the issue about, you know, sort of more affluent customers using it and somehow getting points when they pay it off. I think for us, the imperative though, is solving the problem for our

low-income customers.

And making sure that those -- those folks aren't absorbing sort of a regressive, you know, or larger piece of that -- of that relative to their income. So I think that's -- that's the problem that we're trying to solve, understanding it's not perfect.

But -- but in our view, that that outweighs sort of any of the other potential issues that you've highlighted there. I don't know if anyone else in the team has another view or something else you'd like to add.

A.L.J. LEARY: Okay. Let's get some specifics.

MR. DECICCO: So to this point, we've talked about our non-infrastructure programs. And clearly, you know, we are proposing non-infrastructure and energy efficient in particular, on a scale we have never before. It's -- it’s a really critical part of our case.

And -- and again, something that we are prioritizing to be sure. That does not void the need, though, to invest in infrastructure, you know, we serve again two million customers that rely on us.

So it's critical that we're making the investments we need, in order to not only serve those customers safely and reliably.

But also very importantly, to make sure that we are meeting our safety mandates. And what we consider to be mandated work a combination of, you know, federal regulation and -- and P.S.C. requirements. And the programs that we're committing to as part of our rate filings, these days represent about seventy percent, roughly seventy percent of the projects in our capital portfolio.

And as I said before, you know, even in a -- in an -- in an era where we are seeing sort of warmer temperatures in general we are also seeing extreme weather changes. And so Winter Storm Elliott, as you recall, during the holiday, Christmas holiday, weekend, we saw a nearly 50 -- 50 degree temperature swing overnight.

And as I mentioned before, that put a tremendous amount of pressure on our system and obviously put a tremendous amount of pressure on the upstream supplies, which -- which experienced significant curtailments.

What allows us to get through those

events, is investment in our system and making sure that we are prioritizing resiliency. So as part of this rate filing and I think philosophically, we are targeting investments and things like system automation and valves, pipeline integrity programs, storm hardening projects that will ensure the system is there to meet our customers' needs on those days, when -- when we experience those extreme weather events. And the expectation of those will be increasingly frequent -- increasingly frequent going forward. We're also trying to find opportunities for non-pipe solutions.

And so far, we've discussed quite a bit about energy efficiency and demand response being key programs that allow us to make, you know, allow us to avoid, I should say, certain investments in infrastructure going forward.

We are also looking at opportunities for targeted electrification, including to avoid leak prone pipe network. I'll be candid, we've had less -- less success to this point, identifying those types of projects.

But it's absolutely something that we're -- we're interested in trying to figure out and

working with the parties to help us get there and try to find some good projects. We're able to avoid main replacements by electrifying a targeted group of customers and avoiding that infrastructure investment.

And importantly, in this rate filing and the -- and the way we've supported the case, in cases where we've said we've considered non pipe infrastructure solutions. And it just wasn't feasible. We've tried to explain why that is and justify the investments that we're making in a way that we have not in prior cases.

Again, that's an issue of transparency and just being clear about what it is we're saying we need and why we need it and why other options were not sufficient from an engineering standpoint or from a safety standpoint or from a liability standpoint.

The next slide just talks about some of the key investments in our in -- in our mind. Obviously, leak-prone pipe is one of our key programs. It aligns with the Climate Action Council Scoping Plan. In the sense, that is one of the key tools we have at our disposal to reduce emissions from our system.

And I'll talk more about that in a second. We are proposing to retire at KEDNY between 43 and 49 miles a year and at KEDLI between 115 and 122 miles. This is a slight reduction from our prior programs that had in prior cases, sort of, had increases in fairly sizable increments.

We think keeping this program flat is important, not only because it sets the right message around affordability but also for an execution standpoint. I think we feel like we're at the right pace, that -- that achieves those emission reductions without continuing to increase our capital portfolio by expanding the mileage that we are proposing every year.

We're also calibrating our portfolio to align with State policy. An example of that is in our customer connections budget, which has been reduced to 40 percent in New York City to reflect the restrictions on new service connections in New York City coming from what's called Local Law 154.

We are also proposing a conditions tracker. So to the extent that we've over -- or underspend the costs in that budget, we would reconcile those. Again, that's as -- as New York

State's policy with regards to service connections takes hold, there's a certain element of uncertainty there.

We would be able to sort of scale back or scale up that program depending on the impacts to customers day-to-day. And obviously that will play out over the course of a three or four-year rate plan if we're able to achieve a settlement.

We believe that a balanced approach to the energy future will look to repurpose the gas network and increasingly deliver lower carbon fuels. And so we do have a set of targeted proposals of this rate case to connect R.N.G. projects on system.

Now, this is not like the new concrete project, which -- which we actually constructed ourselves happens with at a ceremony today, sort of the ceremony commissioning it in Newtown Creek. But these are projects that are being built by third parties on our system opportunities to capture methane wastes and repurpose that -- it for use in our system, in doing so, displacing fossil fuel gas.

Again, we're not proposing to own those facilities. These would be third parties that we would help either connect and again, we've talked

about sort of what we see as the advantage of doing that in terms of lower emissions but also the ability to have new on source indigenous supply sources.

And we're also looking to expand an existing hydrogen facility in Lido Beach owned by the Town of Hempstead. And then use that for a hydrogen blending project in a -- in a closed network on Long Island. This is a no regrets project in our mind and a great test case for -- for the opportunity to run hydrogen going forward.

It happens to be an existing facility, we would repurpose it and invest in it to a certain degree but it's already there, it's already generating hydrogen, and then, we could use that hydrogen in blended increments in our system.

Again, we think that all of the above approach at this early stage is the way to go. And this seems like just, sort of, you know, a really unique opportunity for us to test that on Long Island.

And with respect to our gas safety metrics, ultimately, that's how we hold ourselves accountable, making sure that we're meeting the conditions expectations when it comes to seek --to

our gas safety performance, things like leak-prone pipe or leak backlog, damage prevention, emergency response, gas regulation, performance measures.

Again, this is how we're held to account with respect to that performance. And certainly we would propose to keep those going forward as part of a new rate plan. Francis, the next slide.

With respect to emissions, you know, we are proposing to use the tools at our disposal to do what we can to eliminate leaks and methane emissions. And clearly, leak-prone pipe program is a key opportunity for -- for us to do that. We're proposing to remove about 600 miles of leak-prone pipe over the next four years. That will allow us to stay on target even though we're effectively moderating the program but allow us to stay on target to eliminate all leak-prone pipe by 2045.

We are also continuing to ratchet down the allowed number of leaks in our leak backlog every year by 150 at KEDNY and 650 at KEDLI. And as we say in our testimony and our cover letter, you know, through this program, we are projecting that we will have eliminated our totally backlight -- backlog by

80 to 90 percent, from the highest experience in 2011, 2013 by the end of a 4 lee -- 4-year rate plan. You know, we think that's significant progress, it just shows the success of these programs, how leak-prone pipe replacement and leak repairs can really drive down that number substantially.

We're also proposing to move forward a program that we've collaborated with -- with E.D.F. and others around advanced leak detection, using new technology to identify the highest emitting leaks and prioritize those repairs.

And importantly, as part of this case, we've really enhanced our emissions reporting. And I think you'll see that not only in our G.I. or gas infrastructure panel testimony but also in our C.L.C.P.A. panel testimony, talking about the cumulative effect of all the proposals we have when it comes to emissions tracking going forward.

So with that, I'm going to turn it over. And we're going to talk a little bit more about some of the numbers behind the case when we're talking in terms of rate increases and the impacts on our customers. So Patrick, why don't you take it away?

MR. O'BRIEN: So good afternoon, Patrick O'Brien, Vice-President of Regulation and Pricing and James Wood is with me. So that's why it looks like James Woods speaking. So you know, as we all now know and experienced inflation is driving some rather significant costs increases really across all businesses, you know, we've seen a rate go from two percent to as high as nine percent, down to six percent.

And to manage affordability in this economic climate, you know, we as a company really focused on cost management. And if we look at our costs between calendar years 2018 and 2022, which are the two tests year periods we've been able to hold our costs relatively flat. In fact, KEDNY has seen a 3 percent decrease in its controllable costs between the two tests year periods.

Additionally, with the filings on the horizon, we undertook a fairly ambitious savings initiative, working hard to mitigate these cost increases. And that work has resulted in more than $70 million in efficiencies that are reflected in these filings. If you put that number in perspective, a typical productivity application can

generate cases on the order of one percent.

Here those savings in the filing, they're more than 9 times that number for KEDNY and 7 times that number for KEDLI and then gone to help mitigate this bill impacts. And also to enable headroom to help find -- fund some of these new programs that both Phil and -- and Kris had talked about.

If you look at our rates overall, you can see the impact of the company's efforts. Overall rates have increased modestly over the past 15 years, the company's cost reduction efforts, combined with relatively low commodity costs, they've contributed to an extended period of price stability for customers.

So as the chart on the slide shows, last winter, customers actually paid less in real dollars for gas service than they had 15 years earlier. As -- as Phil said earlier, our rate plan is at an end, and we need to reset rates.

So I'm going to talk about the drivers and explain them. So Francis if you can go the next slide. So the slide here shows the revenue requirement, and then, the drivers of the increase.

So you start at the bottom, you see the $414 million increase for KEDNY and then the $228 million increase for KEDLI.

So that equates to total bill increases of 17 percent and 14 percent respectively. And there are 9 drivers for that increase highlighted in the slide. So let me start with, you can see highlighted in the green box, the new initiatives.

So these are the new apps in this case for things like fleet electrification, the customer calls and I have a slide that breaks these out in a bit. But they -- you can say they make up just one percent of the increase.

And it goes back to what Phil had alluded to earlier. Our goal was to really simplify this case and to limit the ask to those core business needs. The majority of the increase is driven by factors outside the company's control.

Things like safety and compliance mandates, property taxes, inflation, and market conditions. So just to go through the drivers, if you start at the top, you have rate of return that makes up 3 percent of the increase.

So we're updating the return on equity

from 8.8 percent to 9.8 percent. And that's at the low end of the range that's recommended by our expert. So included a range of 9.8 to 10.7. We're also proposing to continue to the existing 48 percent equity, 52 percent debt ratio. So the next driver, does the core business support. That also makes up 3 percent of the increase, you know, this reflects the impact of inflation on our O.& M. cost.

So things like labor, contractors, it also includes the I.T. investments that have helped enabled us to deliver those efficiencies and hold our cost profile flat for the last three years. And you can see savings are next. They represent a 1 percent decrease over bill impact.

I already talked about the new initiatives. So rate base is next. This represents a 2 percent increase for KEDNY and a 1 percent decrease for KEDLI. And the rate base is primarily driven -- it's primarily our planned investments for safe reliable service and it's offset by revenues. So the difference with KEDLI is primarily due to sales growth at KEDLI that doesn't exist at KEDNY.

Environmental is next. That's a 1 percent for KEDNY. This is very small for KEDLI.

The biggest driver for the increase is the remediation efforts at the Gowanus Canal and Newtown Creek. Energy -- energy efficiency is next. That's one percent of the increase. And that's just reflects the N.E.N.Y. budget.

And then, the next two -- that is two biggest drivers. So the first is Depreciation Amortization. So depreciation is the -- this is the biggest driver KEDNY, it makes up, you can see 4 percent of the increase.

And from a revenue requirement perspective, that's, you know, it's about 102 million or 25 percent of the $414 million increase. At KEDLI, it's 2 percent of the total bill impact. The next slide, next slide, we'll -- we'll talk about in a moment.

It shows the components of depreciation but I want to focus here is the amortization. So let's look at KEDNY specific. It reflects the proposal to amortize the $196 million in regulatory assets that are on KEDNYs over the last -- over 10 years.

So these are deferrals that have been on our books for some time now we're getting pressure

from our auditors that we'd be able to demonstrate the ability to recover these costs. And many of these balances have already been audited by staff.

And then, the final driver is property taxes. So for KEDLI, this is the biggest driver at 5 percent or 37 percent of that $228 million increase. A thing to note here is combined KEDNY and KEDLI, they're under recovered property taxes by almost 74 million over the last rate plan.

So if you go to the next slide. This is the depreciation. Like I said, depreciation is a big driver. The goal here is to update our rates to bring them more in line with our peer utilities, but to do so in a manner that mitigates the bill impact.

So when we looked at other utilities, we saw that our rates are -- are a bit low. So our rate allowance is around 2 percent. So the ratio of depreciation expense to net plan, compared to about 3 to 4 percent for our peer utilities and it's primarily due to a low cost removal in rates.

So that was a rate that we were unable to update in the last case, given the need for affordability. But to mitigate the bill impacts, we're not proposing to update depreciation all at

once, rather are proposing to gradually phase in the new rates.

So we're phasing them in proposing to do so for KEDNY over four years and KEDLI for two years. And then, there's two other components of depreciation I want to note. So we're proposing to amortize the reserve deficiency over 20 years.

And that would begin rate year two, and then, we're accelerating KEDNY's depreciation of leak-prone pipe over the life of the program. So we did that for KEDLI in the last case, but again, because of bill pressures, we -- we were unable to do that for KEDNY.

And the slide here just shows the -- the revenue requirement impact of -- of the depreciation changes, and by updating the depreciation rates to bring them more in line with -- with the service lines, combined with the proposal to amortize the deferral balances.

We're trying to create headroom in the future to accelerate for any policy driven type depreciation proposals that may come out of it. Yes, planning proceeding. And then, the last slide for me, is just a new initiative.

So these, like I said, these are the new apps in the case. So it's just summarizes the new task by A, you can see a gas safety operations, F.T.E.s, I.T., and customer. So to provide better visibility to these initiatives to the costs and the programs, we create separate schedules for them.

So they can be found in Exhibit R.P. Three. So and in their schedule. So for instance, gas safety and operations, if you look at Schedule 42, you find the programs there, customer runs with Schedule 40, and the incremental F.T.E.s you'll find those at Schedule 41.

The table just gives you a summary view of the costs, but again, look to the schedules for those detailed programs. And again, you know, the point here to note is that, again, those new initiatives they are a relatively small portion of the overall increase.

So let me pause there, I think, we're turning it to Kellie Smith to talk about rate design.

MS. SMITH: Yes, thanks, Patrick. Can everybody hear me okay?

MR. O'BRIEN: We can.

A.L.J. LEARY: Yes.

MS. SMITH: Okay. Thank you. Thank you. So my name is Kellie Smith. I am the director of the New York pricing team. And the next few slides I'm going to take you through relate to like the rate design, the bill impacts and some of the tariff or the tariff changes we're proposing.

So on this first slide, we talk about the various components of the rate design and the assumptions that we used in the filing. So the first one is related to customer charges. This is the fixed charge that every customer pays as part of their overall delivery rate.

And we did propose modest increases for the majority of classes, where the studies that we do in terms of the embedded cost of service study would support an increase, to bring that customer-related charge or the fixed charge closer to the customer related costs that are identified in our cost of service studies.

But keeping an eye on increasing those customer charges by a significant amount could create extreme bill impacts specifically for lower usage customers. The next thing is the block rate design. So this is a volumetric piece of a customer's bill.

In terms of the firm service classes, as -- as we did in the last rate case, we're trying to move away from the current -- declining block rate structure. And to move either towards flat or potentially in the future an inclining block rate structure that encourages energy efficiency.

We do this by decreasing the slope between those blocks for each customer class and in other words moving towards a flat rate. And we do that by increasing the tail block by a higher percentage than the middle block.

And so that is what we had done in this case. We did that for the majority of the rate service classifications. The only ones where we did not do that were where the -- the impacts were so significant, that we could not justify making any kind of movements to modify the block rate structure in this case.

And then, the last piece on this slide is related to the rate design for our non-firm demand response service classes, which are formally are temperature control interruptible classes. And currently, those customers receive a 50 to 60 percent discount from the corresponding firm to block rate,

which is either the commercial heat rate or the multifamily rate for KEDNY.

And it is the commercial heat rate for KEDLI customers. Because of the results from our revenue allocation, we are proposing to increase those discounts slightly from 50 to -- 50 and 60 percent to 55 and 65 percent.

And again, you know, this is -- this is a class of customers that we would like to remain on non-firm rates. And this is kind of further, you know, we're hopeful that an increase in a discount will further encourage those customers to remain on a non-firm rate and to avoid those increases in the peak load which threatens liability or reliability for the company.

If we can move to the next slide, Francis. So this slide shows you a snapshot of the typical bill impacts for residential, commercial, multifamily, and non-firm demand response customers. Once if we look at like the residential heat class for KEDNY, we're assuming average monthly usage of 99 therms.

And this would result in a 26 percent delivery increase and a total increase of 17 percent,

which equates to roughly $31 a month for an increase. And for KEDLI, the residential heat customer uses on average 102 therms per month. And that results in 25 percent delivery increase, a 16 percent total increase with a roughly $28 monthly dollar increase.

And this is a result, these -- these bill impacts are a result of the revenue allocation and rate design that I just talked about. In terms of revenue allocation, the way that we allocate the increase to the classes is based on their current rate of return. And as you can see on this slide, you can see the residential non-heat customers are getting a slightly higher delivery increase.

You can see the residential heat is getting roughly, the -- the average increase as Patrick talked about that delivery increase on a previous slide. And then, some of the classes that were over returning are getting a slightly lower increase.

So you can see the commercial non-heat and heat classes get are -- getting a slightly lower increase than the average. If there are no questions on that slide, we'll move on to the next. This is just a brief overview of the proposed tariff

provisions that we're planning to update in this case.

Most of them are fairly standard. The first one is our lost -- lost or lost and unaccounted for gas. And every case, we update those targets then that will reflect the most recent five-year average. We update the revenue decoupling mechanism targets to reflect the new revenue forecast, which obviously we do in every rate case.

The next one is the E.A.M.s, the earnings adjustment mechanism. This case, we are proposing to eliminate the peak reduction E.A.M. and to add two new E.A.M.s, the system efficiency E.A.M., which is related to the gas demand response programs.

And then, the L.M.I. engagement or the E.A.P. enrollment, E.A.M. For the gas safety reliability surcharge, the -- there is a proposal to include the recovery of the new leak-prone pipe unit cost incentive that promotes efficiency in terms of those projects.

And then, additionally we are planning to update various fees in the -- in the tariff related to reconnections, billing fees, and also the paperless billing credits that customers receive

today. And then, the last section of this slide, I'll go through a new provision, which is the rate adjustment mechanism.

And we are proposing this new mechanism which will basically consolidate some deferral balances into one single surcharge. And this would be -- would be -- they allow the company the ability to recover costs or to pass their credits to customers in a more timely basis than would previously be allowed in terms of, if we have deferred dollars, they may sit on the company's books until the next rate case.

In this way, we're allowed to take those dollars that are either due from or due to customers and recover or -- recover through a surcharge or pass back through a sur-credit those dollars. The deferrals that we are proposing to include in this new mechanism include the uncollectible expense reconciliation, which is newly proposed in this case.

But is consistent with the uncollectible expense reconciliation we proposed as part of the E.A.P. proceeding. The next one is a property tax true-up as Patrick just talked about, we

-- we are definitely seeing some significant increases in property taxes, but there is just relative volatility in terms of property taxes that, you know, a true-up mechanism could either again pass back or recover costs that are over and above or below what is included in our revenue requirement.

The other one is -- the other items to be included are the low income discounts, the L.P.C. revenue, the no fee debit credit card proposal that was just discussed on a previous slide and the last one -- for the last one is long term debt.

And the other thing I'll mention is that this mechanism is similar to some that other utilities already have in New York State. So this is a similar mechanism.

A.L.J. LEARY: Ms. Smith.

MS. SMITH: Yes.

A.L.J. LEARY: A question on the updates to existing tariff provisions.

MS. SMITH: Uh-huh.

A.L.J. LEARY: Your last entry updates to various fees including reconnection fees, billing fees, and paperless billing credits. Does that mean increases slash decreases to various fees? What does

that mean?

MS. SMITH: Well, every rate case, we look at the cost basis for all of those fees. So for example, the current billing fee, which any customer that gets a bill from us that does not directly get a bill from us or doesn't have the dual billing for -- that they do a consolidated billing arrangement with us, they get a billing fee. Currently for KEDNY, is a $1.31 is actually going to go down to $1.20.

And for KEDLY, it's $1.32, it's going to go down to $1.18. So those are fees that we update that we either increase or decrease but we base it on the most recent costs studies that support those. And in terms of the paperless billing, currently, a KEDNY customer gets 0.43 per bill for paperless billing credit if they -- if they go paperless.

And that credit is going to increase to 48 cents, and then, for KEDLY it's currently 0.41, it's going to go up to 0.51.

A.L.J. LEARY: Okay. As I thought it was some increases, some decreases. We have a question. I think it's U.I.U. also on this slide.

MR. COLLAR: Yes, Your Honor. Thank

you, this is Gregg Collar with U.I.U. Just my question is going around to say here that the mechanism is similar to other -- others that are in place other utilities, through those other utilities to have a RAM in place.

I guess my question or concern is, particularly with the low income -- low income discounts, being in the RAM. As you point out here, the RAM -- the RAM you know, I guess, the return and deferral back to customers in -- in a a quicker manner.

What I would say with a low income discount deferral if there was one, it was put into the RAM. And any -- any money that was given back to the customers, would that go back to all customers or just go back to low income customers?

MS. SMITH: So this is just going to be a reconciliation between what was in -- included in the revenue requirement or what was included and assumed in base rates. To the extent that we get out more discounts than what we had in base rates, we are recovering that from all customers. So it's just a really a reconciliation to what's in the -- the rate agreement. And it goes back to all, it would go back

to all customers, I guess, is that the question, Gregg, in terms of --?

MR. COLLAR: Yes, I guess, it all covered.

MS. SMITH: The recovery goes back to all customers, correct.

MR. COLLAR: For those customers whether they are low income --

MS. SMITH: Correct.

MR. COLLAR: -- program or not.

MS. SMITH: Correct. And we do -- yeah. And we did propose, you know, what we felt to be the appropriate allocation methodology for each of the -- the deferral mechanisms included, like for example, the uncollectible expense, we're going to allocate that in the RAM based on how those fees are recovered from customers today, right.

So it's -- it’s really getting it back to the same customers or recovering from the same customers that are funding the programs.

MR. COLLAR: Thanks for the clarification, appreciate it.

MS. SMITH: Sure.

A.L.J. LEARY: Is there any questions,

I think that's all we have. I'm sorry, Phil, I think I'm speaking over you.

MR. DECICCO: No, that's okay.

A.L.J. LEARY: Okay.

MR. DECICCO: So I hope everyone found this -- this informative. And I'd just like to sort of end where we started, which is a commitment to transparency of this process and ensuring that the voices of all the parties of the stakeholders are heard in crafting what we hope to be a reasonable settlement that provides good progress on all matters we've discussed and tries to do what we can to maintain affordability.

Our general principle going into this was, let's -- let's take everything that worked well in this last rate plan that took us two years to negotiate at the end of the day, pull all of that forward and build on it in a way that's ultimately productive and additive.

And I hope you heard us saying that as -- as we walk through these slides. I will say, you know, as a process -- from a process point, we're absolutely committed to trying to make this more efficient process going forward, just in terms of the

time it takes to work the rate filing.

Obviously, our last rate case took two years for a lot of reasons that were unrelated to our ability to work through a settlement. But -- but issues like rate compression are serious and we understand why that's something that we want to try to avoid.

So you have the company's commitment that we will work through our discovery requests as quickly as possible, try to get those to you. We will be incredibly flexible in terms of scheduling meetings and settlement discussions and the like, all in the interest trying to get to a process that doesn't extend any longer than it needs to.

And in our view, recent rate settlements have taken way too long to resolve, I think we can do a better job and you absolutely have our commitment to trying to achieve that. So with that, I want to thank everyone for their time and again for their continued engagement and happy to answer any additional questions but otherwise appreciate, you know, your continued support and interest in our rate cases.

A.L.J. LEARY: Okay. Thank you. Let

me open up the floor to any questions that folks may have had during the presentation but may not have raised their hands or been able to raise their hand. Please don't feel like you have to raise your hand, your -- I don't think there's so many questions.

You're free to unmute yourself and jump right in, just to identify yourself for the record if you plan on doing that. Any questions? Okay, seeing none, I am going to thank the company very much for the presentation.

And I thank everyone for their participation in today's conferences. We, of course, look forward to working with you. And with that, I am going to adjourn the technical conference and we are off the record.

THE REPORTER: Okay. One moment.

(The technical conference adjourned at 12:18 p.m.)

STATE OF NEW YORK

I, HOWARD HUBBARD, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 61, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 21st day of June, 2023.

HOWARD HUBBARD, Reporter